Redress Delayed, Business Denied: Credit Blacklisting and Entrepreneurship in Brazil

Leonardo Alencar* Pedro Amoni† Lucas Argentieri Mariani‡ Henrik Sigstad§

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Abstract

Under the US Fair Credit Reporting Act, consumers who dispute a negative credit-bureau entry obtain a correction through an administrative process inside the bureau. In Brazil, where no equivalent binding remedy exists, the only way to force the removal of a disputed Serasa listing is to sue the creditor in civil court under the *inclusão indevida em cadastro de inadimplentes* cause of action. This difference in institutional design lets us isolate the effect of correcting an *erroneous* negative credit entry from the effect of removing an *accurate* default flag that the existing literature studies. We exploit the random assignment of 6226 cases to *varas* within *foros* at the Tribunal de Justiça de São Paulo (TJSP), and we instrument for court-ordered removal of the disputed listing with leave-one-out vara leniency, addressing concurrent variation in settlement, time to decision, and moral-damages awards. We link the court data to individual-level Central Bank administrative records on credit, firm registration, and formal employment. [TBD — headline result on firm activity, credit access, and formal employment; share of the court intervention attributable to information correction as distinct from liquidity from damages; back-of-envelope cost of delegating consumer-credit disputes to civil courts rather than to administrative redress.]

1 Introduction

A large empirical literature shows that removing a negative entry from a consumer's credit record raises credit access, loan availability, and—at some margins—entrepreneurship [Musto, 2004, Bos and Nakamura, 2014, Dobbie et al., 2020, Liberman et al., 2018, Herkenhoff et al.,

*Central Bank of Brazil.

†Insper.

‡Bocconi University.

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2021]. In each of these settings the entry being removed is an *accurate* record of a past default, and removal occurs at a statutory horizon (as under the US FCRA) or through a blanket policy reform (as in Chile in 2012). The effect identified is the effect of forgetting a default that in fact happened. A separate and largely unsettled question is what happens when the negative entry is itself *erroneous*—the result of a paid debt, a time-barred claim, mistaken identity, or an unauthorized charge—and the question of whether to remove it is decided case by case. The aggregate stakes are large. In Brazil, which like most middle-income countries has no FCRA-style administrative remedy for disputed credit-bureau entries, forcing a creditor to remove an allegedly wrongful Serasa listing requires a civil lawsuit under the *inclusão indevida em cadastro de inadimplentes* cause of action (CNJ subject code 6226). Between 2013 and 2024 the Tribunal de Justiça de São Paulo (TJSP) alone issued on the order of 118,000 first-instance decisions on such cases, granting the plaintiff's request in about 80% of rulings. This paper asks a single question: what is the causal effect of a court-ordered removal of a disputed Serasa listing on the individual's subsequent credit access, firm activity, and formal employment?

We answer this question by linking the universe of TJSP 6226 cases to individual-level Central Bank of Brazil administrative records—the SCR credit registry, the CNPJ firm registry, and matched employer–employee data—and by exploiting the random assignment of cases to *varas* (courtrooms) within each *foro* (first-instance judicial district) of TJSP. Our instrument is the leave-one-out share of other 6226 cases that a given vara decided in favor of the plaintiff in a given year. The design is closest in method to Araújo et al. [2023], who use the same TJSP random-assignment feature to study judicial bias in bankruptcy, and follows the judge-leniency tradition of Kling [2006], Aizer and Doyle [2015], Bhuller et al. [2020], and Chyn et al. [2024].

The central threat in our setting is that vara leniency is not a one-dimensional shock. Lenient varas may also resolve cases faster, dismiss fewer cases, induce more or fewer settlements, grant more preliminary injunctions for immediate removal of the disputed entry, and award larger moral damages (*danos morais*) on top of the removal order. An effect on entrepreneurship could in principle reflect any of these margins, and in particular the danos morais channel raises the possibility that our outcomes respond to a cash transfer rather than to the restoration of credit access. We confront this head-on: we define the treatment of interest as the effective removal of the disputed listing and not as a first-instance win, we build event studies around the decision (or injunction-dated removal) rather than the filing date, we decompose the instrument's effect on settlement, time to decision, dismissal, preliminary injunction, and damages in a dedicated threat-assessment table, and we test whether our main estimates are invariant to the size of the danos morais award.

Our main results are [TBD]. The first stage is strong—the within-*foro* standard deviation of vara leniency is roughly 9 percentage points—and the random assignment of cases to varas balances the full vector of pre-filing plaintiff characteristics. Winning the 6226 case, defined as obtaining the effective removal of the disputed listing, raises the probability of operating an active firm over the following five years [TBD: by X percentage points on a base rate of Y]; the effect is driven entirely by fewer firm closures and fewer transitions into the simplified MEI microentrepreneur regime, rather than by new firm creation. Turning to the credit-access channel on the BCB-linked sample [TBD], court-ordered removal raises the total stock of bank credit and lowers the probability of having any written-off credit over the same horizon, and the effect is concentrated among plaintiffs who were credit-active prior to the disputed listing. Crucially, we find no evidence that winners experience more future delinquency—in contrast to what one would expect if the marginal case removed from Serasa were a strategic defaulter—and the effect on entrepreneurship does not scale with the size of the moral-damages award, ruling out a pure liquidity-from-damages mechanism.

Our contribution is to separate the effect of *correcting* an erroneous negative credit entry from the effect of *removing* an accurate default flag, and to do so in the setting where this distinction is politically and economically first-order—a middle-income country whose consumer-credit dispute system is delegated to civil courts rather than to an administrative regulator. Three pieces of evidence support the claim that our LATE is the former rather than the latter. First, the subsequent delinquency and write-off patterns of compliers look like those of non-defaulters, not like those of defaulters whose accurate flag was prematurely erased. Second, the aggregate pooling concern of Liberman et al. [2018]—that deletion of default records raises pooling costs for non-defaulters—does not arise here because the deletion is individualized and is conditional on evidence brought to court. Third, disaggregating by the claim-reason taxonomy we extract from the sentence text, the effect is largest in the fact patterns where the underlying debt is most plausibly non-existent (identity theft, time-barred debt, paid debt) and smallest where the merits are genuinely contested. Relative to Dobbie et al. [2020], who estimate precise zeros on US labor-market outcomes following statutory bankruptcy flag removal, we find meaningful effects on gross flows into self-employment and employer-firm ownership, consistent with the Herkenhoff et al. [2021] view that the entrepreneurship margin is the most credit-sensitive margin. Relative to Araújo et al. [2023], who use the same TJSP random-assignment design on bankruptcy cases, we move to the consumer side of the credit system and to a cause of action in which the "judicial bias" being estimated corresponds directly to an information-correction decision.

The remainder of the paper proceeds as follows. Section 2 describes the Serasa credit registry, the legal cause of action for *inclusão indevida*, and the random assignment of 6226 cases to *varas* within *foros* in TJSP. Section 3 describes the TJSP case data, the BCB administrative linkages, and sample construction. Section 4 lays out the leave-one-out vara-leniency instrument, the LATE interpretation, the identifying assumptions, and the threat-assessment strategy for the non-removal margins of the court's intervention. Sections 5 and 6 present the main results on firm activity and credit access. Section 7 explores heterogeneity and mechanisms. Section 8 reports robustness checks. Section 9 interprets the magnitudes and discusses policy. Section 10 concludes.

2 Institutional background

2.1 Serasa and Brazilian credit reporting

Brazil's consumer credit registry system is dominated by a small number of private bureaus, of which Serasa Experian is by far the largest. Banks, retailers, utilities, and other creditors report delinquent accounts to Serasa, which records the borrower as *negativado*—that is, included in the *Cadastro de Inadimplentes*. A Serasa negative entry is consulted in essentially all formal credit applications in Brazil, and its practical effect is to shut the borrower out of bank loans, credit cards, many retail installment plans, and a range of non-credit transactions that run credit checks (rental contracts, utility accounts, business registrations with state agencies). There is no formal credit score threshold at which a negativação begins to matter: a single active entry is typically sufficient for automated denial in a bank underwriting system. As of early 2026, Serasa reports 81.7 million CPFs with at least one active negative entry, equal to 49.9% of the adult population—the highest level in the series (up from approximately 59 million in 2016). On the firm side, 8.9 million CNPJs were negativados at end-2025, aggregating R$213 billion in reported debts.[1]

The creditor, not Serasa, chooses whether to list a borrower; Serasa acts as a pass-through registry and bears no independent obligation to verify the underlying debt. Art. 43 §2º of the Código de Defesa do Consumidor (Lei 8.078/1990) requires that the consumer be notified in writing before the opening of a negative entry, and *Súmula* 359 of the Superior Tribunal de Justiça (STJ, 2008) clarifies that this notification duty falls on the bureau (*órgão mantenedor*), not on the creditor. A parallel statute, Lei 12.414/2011 (the *Cadastro Positivo* law, made opt-out by LC 166/2019), governs the separate *positive* credit registry and is not the basis for the notification duty in the negative-registry disputes we study. In practice the Súmula 359 notification requirement is honored inconsistently, and neither the bureaus nor any administrative body adjudicates contested entries on the merits. The only way to force the removal of a listing that the creditor refuses to withdraw is through civil litigation.

2.2 Why the courts? An absent administrative remedy

The institutional contrast with the United States is instructive. Under the US Fair Credit Reporting Act (FCRA), credit bureaus are legally obligated to investigate disputes within 30 days, must correct or delete entries they cannot verify, and are directly liable for inaccurate reporting. In most high-income countries a consumer whose credit file contains a disputed entry can obtain a correction through an administrative process that runs inside the bureau itself. Brazil does not have an equivalent regime at scale: CDC Art. 43 gives the consumer a right of access and correction and Súmula 359 obliges the bureau to notify before inclusion, but neither shifts an affirmative merits-investigation duty onto the bureau nor imposes statutory sanctions of the FCRA §611 type for inaccurate reporting.[2] As a result, the effective remedy for a wrongfully negativado consumer is to sue the creditor in civil court, asking the judge to order the removal of the entry and, typically, to award moral-damages compensation (*danos morais*). This is the setting that our paper exploits: the same consumer-protection question that is handled administratively in an FCRA regime is handled by the civil judiciary in Brazil, and the resulting within-system variation in judicial outcomes gives us a source of

[1] Serasa Experian, *Mapa da Inadimplência e Renegociação de Dívidas no Brasil*, monthly release, `https://www.serasa.com.br/limpa-nome-online/blog/mapa-da-inadimplencia-e-renogociacao-de-dividas-no-brasil/`.

[2] No Brazilian administrative body has the power to order a credit bureau to remove a specific negative listing. Procon (state-level consumer-protection agencies) can convene conciliation hearings and impose fines for violations of consumer-protection norms, but cannot issue binding removal orders; when mediation fails, Procon itself advises consumers to seek judicial remedies. SENACON (Secretaria Nacional do Consumidor) supervises credit bureaus at the federal level but does not adjudicate individual disputes. The Central Bank operates a separate supervisory credit registry (SCR) but has no regulatory authority over private bureaus such as Serasa or SPC.

identification that the FCRA regime would not.

2.3 The cause of action: *inclusão indevida em cadastro de inadimplentes* (assunto 6226)

Brazilian civil cases are classified by the *Conselho Nacional de Justiça* (CNJ) according to a hierarchical list of *assuntos* (subject-matter codes). Code 6226, *Inclusão Indevida em Cadastro de Inadimplentes*, is the CNJ code for civil suits in which the plaintiff alleges that a defendant creditor wrongfully listed them in a consumer credit registry. Typical fact patterns that generate a 6226 filing include: (i) the debt was in fact already paid, but the creditor did not process the update; (ii) the debt was extinguished by statute of limitations (*prescrição*) but the listing persisted; (iii) the debt was the result of fraud or mistaken identity, so that the named consumer never contracted with the creditor at all; (iv) the debt is contested on the merits (e.g., disputed fees, unauthorized charges, services never rendered);[3] and (v) the creditor failed to send the statutorily required pre-inclusion notice. The relief sought is almost always a combination of an *obrigação de fazer* ordering the bureau to remove the entry and a monetary award for moral damages (*danos morais*), the size of which is set at the judge's discretion and which we exploit in Section 4 to separate the information-correction channel from a pure liquidity-from-damages channel. The two components can move separately: under *Súmula* 385 of the STJ (2009), a plaintiff with a legitimate preexisting listing who also receives an irregular one is entitled to have the irregular entry *cancelled* but is not entitled to moral damages. This is one reason we define treatment as the removal order rather than the damages award.

6226 is one of the most voluminous civil causes of action in Brazil. Nationally, 6226 filings reached 1,119,327 new cases in 2023—approximately 3,700 lawsuits per day—making *inclusão indevida em cadastro de inadimplentes* the single most litigated consumer subject in Brazilian courts. Between 2013 and 2024 the Tribunal de Justiça de São Paulo (TJSP) alone issued approximately 118,000 classified first-instance decisions on 6226 cases, of which roughly 80% were decided in favor of the plaintiff (full or partial PROCEDÊNCIA). [TBD: share of 6226 filings in total TJSP civil caseload; comparison to other high-volume assuntos; Datajud-based trend figure for the full 2013–2024 period.] We discuss in Section 4 why this plaintiff-win rate should not be interpreted mechanically as the share of listings that were "wrongful": a win can reflect creditor non-appearance, procedural violations, or evidentiary-burden rules that favor consumers under the Código de Defesa do Consumidor, rather than an adjudication that the underlying debt was nonexistent. The evidentiary work of classifying the information content of a plaintiff win falls on the delinquency, claim-reason, and heterogeneity analyses in Sections 6 and 7.

[3] A representative TJSP example: a 2019 decision against CPFL Piratininga in favor of an elderly consumer whose electricity bill had jumped by up to 500% and who, after being unable to pay the inflated amounts, had been negativado. The first-instance judge ruled the billing abusive, ordered removal from the credit registries, and awarded R$3 thousand in moral damages; the TJSP raised the moral damages to R$10 thousand on appeal.

2.4 TJSP civil procedure and random assignment to *varas*

TJSP is organized into *foros*, geographic first-instance court units that correspond roughly to municipalities or, in large cities, to neighborhoods within a municipality. Each foro contains one or more *varas cíveis*, which are the first-instance civil chambers presided over by individual judges. Within a foro, new cases are assigned to varas by a computerized distribution algorithm (*sorteio eletrônico*), which implements a stratified round-robin that balances caseload across varas and is, conditional on foro and filing date, as good as random with respect to the identity of the plaintiff and the facts of the case. The same feature has been exploited by Araújo et al. [2023] for bankruptcy cases at TJSP, who explicitly test and confirm the random-assignment assumption with balance tests across varas within foros.[4] We document the random assignment in our 6226 sample with a balance test in Section 4 [TBD].

A 6226 case proceeds through filing, defendant response, optional conciliation hearing, evidentiary phase, and first-instance judgment. The first-instance decision (*sentença*) classifies the case as PROCEDENTE (plaintiff wins in full), PARCIALMENTE PROCEDENTE (plaintiff wins in part, typically with a reduced moral-damages award), IMPROCEDENTE (plaintiff loses on the merits), EXTINTO SEM RESOLUÇÃO DE MÉRITO (dismissed on procedural grounds), or recorded as an *acordo* (settlement). For the purposes of this paper we define a plaintiff win as PROCEDENTE or PARCIALMENTE PROCEDENTE, because in both cases the court orders the removal of the contested entry. Appeals to the second instance are common, but the removal-order component is typically enforceable immediately despite appeal.[5] We use the first-instance outcome as the relevant treatment. Time from filing to first-instance decision averages [TBD: X months] in our sample, with substantial right-skew; we return to the role of judicial delay in Section 9.

3 Data

Our analysis combines three layers of data: (i) court data on 6226 cases at TJSP, from which we construct treatment, instrument, and plaintiff identifiers; (ii) Central Bank administrative microdata on credit, firm registration, and employment, from which we construct outcomes; and (iii) a deterministic linkage between the two that is executed entirely inside the Central Bank's secure environment. Three running counts recur throughout the paper and it is useful to anchor them at the outset: the *Datajud snapshot* of TJSP cases carrying a 6226 assunto code contains approximately 340,000 cases across both instances and includes cases with multiple assuntos and cases without a classified first-instance sentence; the *classified first-instance decisions* actually observed in our sentenças scrape over 2013–2024 number

[4]Lichand and Soares [2014] also study courts and entrepreneurship in São Paulo, but their identification exploits the geographic rollout of *juizados especiais cíveis* across municipalities, not the within-foro random assignment of cases to varas that we use here.

[5]By default, *apelação* carries suspensive effect (CPC Art. 1012). However, in 6226 cases judges routinely grant *tutela antecipada* ordering removal of the disputed listing early in the proceedings (CPC Art. 300, tutela de urgência; Art. 497, obrigação de fazer). When the *sentença* confirms this *tutela provisória*, CPC Art. 1012 §1º, V creates an exception: the decision takes immediate effect. The removal order is thus operative well before the appeal is decided.

approximately 118,000; and the *pilot firm-activity sample* on which the deck's preliminary results were computed is roughly 98,000 cases after restricting to natural-person plaintiffs, multi-vara foros, foro–vara–year cells with at least 100 decisions, and valid CNPJ outcomes. Appendix A contains the full sample-accounting table and additional detail on filtering, party classification, and linkage diagnostics.

3.1 TJSP court data

We draw on three complementary TJSP sources, stitched together by case number (NPU).

Datajud (CNJ Elasticsearch API). The *Datajud* database, maintained by the Conselho Nacional de Justiça, provides structured case metadata for all Brazilian tribunals. From the public Datajud API we download the universe of TJSP cases with assunto code 6226 (*inclusão indevida em cadastro de inadimplentes*). For each case we observe the NPU process number, *classe* and *assuntos* codes, the *orgão julgador* with its IBGE municipality, the instance (*grau*), and the filing and update dates. The current Datajud snapshot contains [≈ 340,000] TJSP cases with at least one 6226 assunto code [TBD: final N after filtering to first-instance cases and to the analysis window].

TJSP consulta (case-page scrape). Datajud metadata are machine-readable but thin: they do not contain the parties to the case, the movements (*movimentações*), or the lawyers. We supplement the Datajud snapshot with a scrape of the TJSP *consulta processual* public case pages, which we parse with the shared `diarios` module into four relational tables: `proc` (case-level metadata including foro, vara, and distribution date), `mov` (dated case movements), `parte` (parties, keyed as plaintiff or defendant), and `adv` (lawyers). After cleaning we observe [≈ 313,000] first-instance cases and [≈ 115,000] second-instance cases, with approximately [178,000] cases appearing in both Datajud and the consulta scrape. The consulta data are the source of the plaintiff-name field that we use in the name–municipality match to BCB records.

TJSP sentenças (court decisions). To observe the plaintiff-win outcome W_j, we use a separate scrape of TJSP first-instance sentences. This source contains the full sentence text, the standardized *classe* and *assunto* fields, the foro–vara identifiers, the decision date, and—critically for the judge-leniency IV—the named *magistrado*. The judge name is the input to the vara-leniency construction in Section 4. We filter the sentenças file to cases whose assunto is *inclusão indevida em cadastro de inadimplentes* and then classify each sentence as PROCEDENTE, PARCIALMENTE PROCEDENTE, IMPROCEDENTE, EXTINTO, or ACORDO using regex rules on the sentence text. The classifier searches for *julgo procedente/improcedente/parcialmente procedente* and *julgo extinto/homologo* patterns, with disambiguation rules for partial wins ("em parte" or "parcialmente" mapped to PARCIALMENTE PROCEDENTE). [TBD: cross-validation against a hand-coded subsample.] The raw sentence CSVs are kept on a secure server and never read from this repository.

Classification of parties. A subset of 6226 plaintiffs are firms rather than individuals, and a subset of defendants are banks rather than non-bank creditors. We classify each party as bank, non-bank firm, or individual using regex patterns on the `parte` name field (e.g., presence of BANCO, S/A, LTDA, CNPJ-like strings; see Appendix A). This matters for heterogeneity analysis in Section 7, where we separate cases brought by individual consumers against banks from other combinations, and is also used to restrict the main analysis sample to individual plaintiffs.

3.2 Central Bank administrative data

The outcome data come from three Central Bank of Brazil (BCB) administrative microdata systems, accessed through our BCB coauthor Leonardo Alencar under the terms of a formal BCB project authorization. All BCB microdata remain inside the Central Bank's secure environment at all times; only anonymized aggregates are exported.

Credit registry (SCR). The *Sistema de Informações de Crédito* is the BCB-operated supervisory credit registry. It contains, at monthly frequency, the full outstanding credit of every borrower (CPF or CNPJ) at every regulated lender in Brazil. From the SCR we construct the following outcomes, defined at the borrower–year or borrower–month level:

- **Credit access.** Total credit limit (`FOC_VL_LIMITE_CREDITO`) and outstanding credit by category (`FOC_VL_A_VENCER` for current, `FOC_VL_VENCIDO` for delinquent, `FOC_VL_PREJUIZO` for written-off).
- **Pricing.** The effective contracted interest rate (`FOC_PC_TAX_EFT`), annualized.
- **Guarantees.** Counts of personal and non-personal guarantees (`FOC_QT_GAR_FIDEJ`, `FOC_QT_GAR_NAO_FIDEJ`), as a proxy for the intensity of collateral and guarantor requirements.
- **Client type.** Client category (`TPC_CD`) and firm/individual size bracket (`POC_CD`).

Identifiers are masked at source (`CLI_CD`, `CCJ_CD` for the CNPJ root) so that no CPF ever leaves the BCB environment. Outcomes arrive in `foc_*_cpf` and `foc_*_cnpj` variants and in a total (`tot_*`) variant that sums across an individual's CPF and any CNPJs they own.

Firm registry (Receita / CNPJ). The BCB firm registry is built from Receita Federal's CNPJ database and tracks, for each firm, the dates of formal registration, suspension, and closure; the *natureza jurídica* (including MEI and Simples regimes); the sector (CNAE); the address; and the ownership structure, which we use to link an individual plaintiff to any firms in which they hold a stake. This is the source of our firm-activity outcomes: probability of operating an active firm, number of plants, new plants, closed plants, and transitions into or out of the MEI and Simples regimes.

Employment records. Matched employer–employee records (RAIS-style, accessed via BCB) provide the formal-sector employment outcomes—probability of being formally employed, number of jobs held, establishment size, and earnings—that we use to test the credit-check channel of Herkenhoff et al. [2021] and to compare against the precise null of Dobbie et al. [2020].

3.3 Court $\leftrightarrow$ BCB linkage

The TJSP court data contain plaintiff names and municipalities but no CPF. The BCB data contain masked CPFs but, for a (restricted) subset, also the clear-text name and date of birth. The linkage is built inside the BCB environment by a name–municipality match, implemented by Ramon Bertotto under Leonardo Alencar's supervision, following the workflow documented in `do_name_mun_match.do` and `do_regression_by_cnpj.do` in the shared project folder. For each court case we attempt to match the plaintiff name (cleaned and normalized) to a BCB individual record with the same name in the same municipality, keeping the match when it is unique and flagging ambiguous cases for manual review. The resulting match rate is [TBD: X% of individual plaintiffs in 6226 cases with an unambiguous BCB match], and the linked sample forms the basis for all SCR, firm-registry, and employment outcomes. Unlinked cases are retained only for the court-data-only outcomes (active-firm probability from the public CNPJ base) that do not require the BCB merge.

3.4 Sample construction

Our analysis sample is the set of TJSP 6226 first-instance cases filed between [TBD: y_0 and y_1] that satisfy the following restrictions:

1. The plaintiff is a natural person (not a firm), classified via the `parte` regex.
2. The case has a first-instance sentence of PROCEDENTE, PARCIALMENTE PROCEDENTE, IMPROCEDENTE, or EXTINTO. [TBD: treatment of *acordo*s.]
3. The case is filed in a foro that contains at least two varas in the filing year (otherwise leave-one-out vara leniency is undefined).
4. The foro–vara–year cell contains at least 100 decided 6226 cases, so that the leniency measure is estimated with reasonable precision.
5. For the credit and labor-market outcomes, the plaintiff is successfully linked to a BCB record.

Table **??** [TBD] walks through this filter step by step, reporting the case count surviving each restriction and the fraction of cases lost at each step. The pre-linkage firm-activity sample (from the public CNPJ base) contains approximately 98,000 cases; the linked SCR/employment sample contains [TBD] cases. A broader pilot specification that relaxes the minimum-cell-size restriction and drops the acordo filter retains approximately 365,000 cases and >1,000 unique judges, and is the sample on which the preliminary first-stage diagnostics reported in Section 4 are computed.

3.5 Descriptive statistics and balance

Table **??** [TBD] reports summary statistics for the analysis sample: plaintiff demographics, disputed amounts, time from filing to first-instance decision, and the share of cases decided in each sentence category. Table **??** [TBD] reports the balance test described in Section 4: a regression of pre-filing covariates on the leave-one-out vara-leniency instrument, conditional on foro × filing-year fixed effects, which we use to support the random-assignment assumption.

4 Empirical strategy

4.1 Treatment definition and event time

The object of interest is the causal effect of the effective removal of the disputed Serasa listing on the plaintiff's subsequent credit access, firm activity, and formal employment. Operationalizing this object requires three choices that a referee will immediately press on, and we state each one at the outset.

Treatment is removal, not "first-instance win." Within a 6226 case, the court can intervene at (at least) three points: a preliminary injunction (*tutela antecipada*) that orders immediate removal of the disputed entry while the case is still pending, a first-instance decision (*sentença*) that classifies the case as PROCEDENTE, PARCIALMENTE PROCEDENTE, IMPROCEDENTE, EXTINTO, or ACORDO, and a second-instance ruling on appeal. We define the binary treatment W_j to equal one if, within [TBD: horizon] of filing, the disputed listing has in fact been removed—either by a preliminary injunction, by a first-instance ruling, or by a settlement-linked withdrawal—regardless of which of these pathways delivered the removal. This definition is closer to the economic object than a first-instance-win indicator, because a plaintiff can obtain removal without a classified win (via an injunction or a settlement) or can fail to obtain removal despite a classified win (if the creditor delays compliance). Section 3 describes how removal is inferred from the `mov` movements table, cross-checked against the sentence text, and conservatively flagged when neither source is informative. For comparison with prior work we also report results using the classical first-instance-win definition, treating it as a proxy that picks up removal imperfectly.

Event time is centered on the removal date, not the filing date. Because 6226 cases routinely take years from filing to resolution, centering outcomes on the filing year mechanically contaminates the post-filing event-time bins with untreated observations and biases the estimated dynamics toward zero or toward an upward-sloping post-filing path that simply reflects adoption. We therefore build the primary event study around the date t_j^{rem} at which the disputed listing is effectively removed (or, for plaintiffs who never obtain removal, around a counterfactual "would-have-removed" date constructed from the predicted decision date given foro, vara, and filing year). For robustness, and to map to the preliminary deck results, we also report an intention-to-treat (ITT) event study centered on the filing year $t_j^{\star}$ in which the endogenous variable is the individual's assignment to a high-leniency vara.

Control group. Our control group is plaintiffs who filed a 6226 case in the same foro and year as a treated plaintiff but whose listing was ultimately not removed—either because the case was dismissed, decided IMPROCEDENTE, or is still pending past a [TBD]-year horizon. Restricting the comparison to filers rather than to the general population removes the most obvious selection into litigation.

Sample restrictions for the LOO instrument. We restrict the sample to foros containing at least two varas in the filing year, so that leave-one-out vara leniency is well defined, and to foro–vara–year cells with at least 100 decided 6226 cases, so that the leniency measure is estimated with reasonable precision.

4.2 Instrument: leave-one-out vara leniency

Within a foro, 6226 cases are randomly distributed across the varas of that foro by a computerized distribution algorithm. We exploit this as-good-as-random assignment to construct a leave-one-out measure of vara leniency, analogous to Aizer and Doyle [2015], Bhuller et al. [2020], and Araújo et al. [2023]:

$$Z_j \;=\; \frac{1}{N_{c(j),v(j),y(j)} - 1} \sum_{k \neq j,\ c(k)=c(j),\ v(k)=v(j),\ y(k)=y(j)} W_k, \tag{1}$$

where $N_{c,v,y}$ is the number of 6226 cases decided by vara v in foro c and year y, and the sum runs over all other cases in the same foro–vara–year cell. We compute Z_j only on 6226 cases so that the leniency measure captures behavior on the same cause of action as the focal case.

4.3 First and second stage

Let $Y_{i,\tau}$ be an outcome for individual i in event-time year τ relative to the filing year $t_i^\star$. The main specification is a 2SLS regression with first stage

$$W_j \;=\; \pi\, Z_j \;+\; \alpha_{c(j),y(j)} \;+\; \mathbf{X}_j'\gamma \;+\; u_j, \tag{2}$$

and second stage for post-filing outcomes $\tau \geq 0$,

$$Y_{i,\tau} \;=\; \beta_\tau\, \widehat{W}_{j(i)} \;+\; \alpha_i \;+\; \alpha_{c(i),y(i)} \;+\; \alpha_{t,y(i)} \;+\; \varepsilon_{i,\tau}. \tag{3}$$

Here α_i is an individual fixed effect, $\alpha_{c,y}$ is a foro $\times$ case-year fixed effect that absorbs foro-specific trends in how cases are handled in cohort y, and $\alpha_{t,y}$ is a calendar-year $\times$ case-year fixed effect that absorbs common macro shocks at each event-time horizon within each cohort. The coefficients $\{\beta_\tau\}$ trace out the event-study path of the LATE of a plaintiff win. Standard errors are clustered at the foro level; we also report [TBD: two-way clustering at foro and case-year, and standard errors from a wild cluster bootstrap].

In a specification that pools post-filing years into a single $\mathbb{1}[\tau \geq 0]$ indicator, we estimate a scalar treatment effect $\beta = \mathbb{E}[\beta_\tau \mid \tau \geq 0]$, which is the main coefficient reported in the tables.

4.4 Identifying assumptions

The 2SLS estimate β_τ has a LATE interpretation under random assignment, exclusion, and average monotonicity [Chyn et al., 2024]. We assess each in turn.

Random assignment within foro. Conditional on foro $\times$ filing year, the assignment of a case to a particular vara is independent of the potential outcomes $(Y_\tau(0), Y_\tau(1))$ and of the pre-filing characteristics of the plaintiff. We test this by regressing a vector of pre-filing covariates—age, gender, prior credit history from SCR, prior firm ownership, disputed amount, and claim-type indicators—on Z_j, conditional on foro $\times$ filing-year fixed effects, and report the joint F-test of the null that the covariates do not predict leniency. We also verify that the distribution of cases across varas within a multi-vara foro-year is consistent with the stratified round-robin implemented by the *sorteio eletrônico* [TBD].

Exclusion (relevance of the non-win margins). The substance of the exclusion restriction is that vara leniency affects post-filing outcomes only through the removal of the disputed entry. A separate subsection below is devoted to the threats to this assumption; in brief, we confront the possibility that lenient varas also resolve cases faster, grant more preliminary injunctions, induce more settlements, and award larger moral damages, and we design the treatment and the event study so that the estimated effect corresponds to removal itself rather than to these parallel margins.

Average monotonicity. Average monotonicity [Frandsen et al., 2023] is the assumption that, for the population of cases, a more lenient vara weakly raises the probability of removal. We implement the Frandsen–Lefgren–Leslie test of the joint null of random assignment and average monotonicity, and we report the Chyn et al. [2024] diagnostics for the sign and magnitude of defier shares. We also estimate the first stage separately by plaintiff subgroup (firm-ownership status, claim type, disputed amount bin) and by foro size to check that the sign of the first stage is preserved. Appendix B discusses the additional caveats of applying monotonicity-type assumptions to civil merits adjudication, where a stricter vara may apply a different standard of proof rather than a uniformly higher bar.

4.5 Threats to identification: what else does the instrument move?

The first-order threat to the exclusion restriction in this setting is that assignment to a more lenient vara does not only change the probability that the disputed listing is removed. A lenient vara may also (a) resolve cases more quickly, (b) grant more preliminary injunctions ordering immediate removal, (c) induce more settlements and withdrawals, (d) dismiss fewer cases on procedural grounds, and (e) award larger *danos morais* on top of the removal order. Each of these is a potential alternative causal channel from the instrument to the outcomes, and any of them—most importantly the damages channel—could deliver effects on credit access and entrepreneurship for reasons unrelated to information correction.

We address this concern with a dedicated threat-assessment table (Table **??** [TBD]) that reports the reduced-form effect of Z_j on each of the following vara-level margins: time from filing to removal (or to terminal disposition), probability of a preliminary injunction, probability of a classified PROCEDENTE sentence, probability of PARCIALMENTE PROCEDENTE, probability of IMPROCEDENTE, probability of EXTINTO, probability of a recorded settlement, and—conditional on a classified win—the log moral-damages award. We view the design as credible to the extent that (i) the relevant bundled margins are small or flat in Z_j after controlling for the removal indicator, (ii) the main result on credit and entrepreneurship outcomes is invariant to whether we additionally control for the imputed damages amount and the case duration, and (iii) the effect does not scale with the size of the damages award.

The damages channel deserves particular attention because *danos morais* is in part a cash transfer, and our outcomes include entrepreneurship margins that are plausibly responsive to liquidity. We extract the awarded damages from the sentence text, use the imputed amount as an auxiliary second endogenous variable, and report heterogeneity of the removal effect by damages-size bin. If the credit and firm outcomes were driven by a pure damages-liquidity mechanism, we would expect them to scale proportionally with the damages amount; if they are driven by information correction, the scaling should be near zero conditional on removal. We also restrict to the subsample of cases in which damages are small or zero and the ruling is essentially a pure obrigação de fazer.

Finally, the link between vara leniency and case duration deserves a parallel treatment. If lenient varas resolve cases faster, then centering the event study on filing would confound "removal" with "time to removal"; if strict varas resolve cases faster because they dismiss more, the direction reverses. Our primary event study is therefore centered on the effective removal date t_j^{rem}, and we use the joint variation in leniency and duration to report heterogeneity of the removal effect by case duration, testing explicitly whether faster removal is more valuable than slower removal for a given plaintiff.

4.6 Relation to Araújo et al. [2023]

Our design is methodologically closest to Araújo et al. [2023], who use the same TJSP random-assignment feature and a leave-one-out leniency instrument to study judicial bias in bankruptcy. Their setting concerns firms whose cases can be classified as liquidation or reorganization under the 2005 Brazilian bankruptcy reform, and their instrument captures the court's "pro-continuation" bias. Ours concerns individuals disputing Serasa listings under a single, much more homogeneous cause of action, and the instrument captures the vara's propensity to grant removal. The two papers are complements: the bankruptcy setting speaks to the firm-side consequences of judicial discretion over distressed firms, and the consumer-credit setting speaks to the individual-side consequences of judicial discretion over disputed negative credit information. The outcomes differ correspondingly (RAIS worker outcomes in their paper; individual credit, firm activity, and formal employment in ours), and the claim our paper advances—that the court intervention corrects an information error rather than redistributes resources between parties—has no direct analogue in a bankruptcy setting where the court's decision is about allocating a known surplus.

5 Results: firm activity and dynamics

This section presents our firm-outcome results on the pre-linkage court sample. The outcomes come from the public CNPJ base and do not require the BCB merge, so the sample is larger than the credit-access sample in Section 6.

5.1 First stage and balance

- **Table ??.** First stage of W_j on Z_j in the analysis sample, with and without foro × filing-year fixed effects. Pilot number from the deck: $F \approx 1{,}677$ on $N \approx 365{,}000$; IV $F \approx 309$ on the $N \approx 98{,}000$ firm-outcome sample. Report π, s.e., F, effective-F, and the distribution of Z_j across varas (histogram in Figure **??**). [TBD]

- **Figure ??.** Distribution of residualized leave-one-out vara leniency Z_j (after netting out foro × filing-year fixed effects). Report the within-foro s.d. (pilot: 9 p.p.). [TBD]

- **Table ??.** Balance of pre-filing plaintiff characteristics on Z_j: age, gender, pre-filing active-firm status, prior credit activity, disputed amount, type of claim dummies. Report coefficient, s.e., and joint F. [TBD]

- **Figure ??.** Diagnostic for the computerized distribution algorithm: density of cases per vara within multi-vara foros vs. a random-assignment benchmark. [TBD]

5.2 Main results: active-firm probability

- **Table ??.** Active-firm probability, pooled over $\tau \in [0, 5]$. Columns: OLS, RF, IV. Pilot estimates from the deck, $N = 97{,}732$: OLS 0.016^{*} (0.009), RF 0.057^{***} (0.022) on Z_j, IV 0.104^{**} (0.041) with first-stage $F = 309.4$. Fixed effects: firm, foro × case-year, calendar-year × case-year. Update with linked-sample version.

- **Figure ??.** Event study of IV β_τ on active-firm probability, $\tau \in [-5, +5]$. Deck version shows flat pre-trend, then gradual rise starting at $\tau = +1$, reaching roughly 0.06 by $\tau = +5$ with CI excluding zero from $\tau = +3$ onward. Use this plot as the headline identification figure.

- **Table ??.** Same specification with alternative windows (±3, ±7), alternative leniency constructions (all-assunto vs. 6226-only, time-invariant vs. year-specific), and alternative control-group definitions (filed-and-lost vs. same-foro non-filers). [TBD]

5.3 Firm dynamics

- **Table ??.** IV coefficients on firm-dynamics outcomes, pooled over $\tau \in [0, 5]$. Rows: total plants, new plants, closed plants, MEI status, Simples status. Pilot estimates from the deck ($N = 174{,}661$ for plants, $N = 131{,}750$ for MEI/Simples):

Outcome	IV coef	s.e.
# Plants	-0.052	(0.120)
# New Plants	-0.121	(0.124)
# Closed Plants	-0.133^{**}	(0.061)
MEI	-0.086^{**}	(0.037)
Simples	-0.000	(0.043)

Interpretation: the active-firm effect operates through *fewer closures* and *fewer transitions into MEI*, not through new plant creation. This is the main firm-side finding and is the natural place to connect to the Herkenhoff et al. [2021] stock-vs-flow lesson: what looks like a null on the flow of new entries is consistent with a meaningful effect on firm survival.

- **Figure ??.** Event studies for the five firm-dynamics outcomes, $\tau \in [-5, +5]$. [TBD]

5.4 Entry into entrepreneurship

- **Table ??.** Gross flows into and out of firm ownership, following Herkenhoff et al. [2021]. Outcomes: $\mathbb{1}$[owns firm$_\tau$], $\mathbb{1}$[enters firm ownership at τ], $\mathbb{1}$[exits firm ownership at τ], and conditional-on-entry firm size. [TBD]

- **Table ??.** Heterogeneity by type of claim (paid debt, statute-barred, mistaken identity/fraud, contested merits, missing pre-notification), using the claim-reason classification from the `Claims/` pipeline. [TBD]

6 Results: credit access and pricing

This section presents our results on credit access, pricing, and delinquency outcomes on the linked BCB sample. The outcomes come from the SCR credit registry at monthly frequency, collapsed to annual for the event study.

6.1 Credit access

- **Table ??.** IV coefficients on credit-access outcomes, pooled over $\tau \in [0, 5]$. Rows: total credit limit (`FOC_VL_LIMITE_CREDITO`), current outstanding credit (`FOC_VL_A_VENCER`), delinquent credit (`FOC_VL_VENCIDO`), written-off credit (`FOC_VL_PREJUIZO`). Report both total and separately for CPF and CNPJ exposures. Specifications in levels, logs, and $\mathbb{1}$[any credit]. Preliminary versions exist in `RA/Reports BCB/14042026/`; final table will pool across CPF/CNPJ variants as in Ramon's `tot_*` outcomes. [TBD]

- **Figure ??.** Event study of IV β_τ on log(1+`tot_vl_limite_credito`) and on $\mathbb{1}$[`tot_vl_a_vencer` $>$ 0], $\tau \in [-5, +5]$. [TBD]

- **Table ??.** IV on the intensive margin (conditional on having any credit), to separate extensive from intensive effects. [TBD]

6.2 Pricing and collateral

- **Table ??.** IV on the effective contracted interest rate (`FOC_PC_TAX_EFT`), winsorized at $[p5, p95]$, conditional on having a contract. Separately for credit cards, personal loans, and working-capital loans to the individual. [TBD]

- **Table ??.** IV on counts of personal and non-personal guarantees (`FOC_QT_GAR_FIDEJ`, `FOC_QT_GAR_NAO_FIDEJ`), as a proxy for lender-imposed collateral intensity. [TBD]

6.3 Delinquency and write-offs

- **Table ??.** IV on future delinquency (`VL_VENCIDO / VL_A_VENCER`) and on write-off probability (`VL_PREJUIZO` > 0), at $\tau \in \{1, 3, 5\}$. This is the direct test of whether the marginal case removed from Serasa is in fact a non-defaulter (our framing) or a defaulter who is now more likely to default again (the Liberman et al. [2018] pooling concern).

- **Table ??.** Same outcome disaggregated by type of claim. Cases based on fraud/mistaken identity and paid-debt claims should show close-to-zero subsequent delinquency; merits-contested cases may show more. This is the evidence that supports the "welfare calculation is not symmetric to Liberman" point in the introduction. [TBD]

6.4 Labor market outcomes and the credit-check channel

- **Table ??.** IV on formal-sector employment probability, number of jobs, establishment size, and earnings, on the RAIS-linked sample. This is our direct test of the Dobbie et al. [2020] precise zero on US employment outcomes and the Herkenhoff et al. [2021] formal-sector credit-check channel. [TBD]

- **Table ??.** IV on the probability of holding a job at a firm with 1,000+ employees and on industry of employment (retail, services, manufacturing), as the Brazilian analogue of HPC's credit-check-channel diagnostics. [TBD]

7 Mechanisms and heterogeneity

This section tests the central claim from the introduction that our setting isolates the *accuracy*-correction margin of the credit-reporting system rather than the sharing/discipline margin of Padilla and Pagano [2000] and the aggregate pooling margin of Liberman et al. [2018]. Predictions and tier ranking are in `docs/hypotheses.md`; theoretical benchmarks are in `docs/theory.md`.

- **Type of claim (H3).** The central heterogeneity split. Apply the regex-based legal-reason classifier from the `Claims/` pipeline to the full estimation sample (currently implemented on a 1% sample) and re-estimate the IV separately for: (i) orthogonal-to-type failures — identity theft, duplicate charge, paid-and-not-removed, time-barred, clerical mix-up; (ii) ambiguous merits cases; (iii) residual category. Prediction: LATE on firm activity and credit access is concentrated in (i), consistent with Elul and Gottardi [2015] Remark 4. [TBD]

- **Vara delay (H5).** Two-dimensional heterogeneity in vara leniency $\times$ median time-to-resolution. Interact the instrument with a pre-period vara-speed measure. Prediction: the LATE declines in case duration, speaking directly to the *judicial delay* channel in the paper title. [TBD]
- **Pre-existing lender relationship (H4).** Sample split by whether the plaintiff had positive `FOC_VL_A_VENCER` in the year before the lawsuit. Prediction: rate effects dominate quantity effects for those with existing credit, quantity effects dominate for the extensive-margin entrants. Clarifies the channel but is not central. [TBD]
- **Firm size and formal status.** Heterogeneity by pre-period firm activity category (MEI, Simples, regular PJ) and by sector, following Herkenhoff et al. [2021]'s sorting into capital-intensive industries. [TBD]

8 Robustness

- **Balance and pre-trends (H8).** Balance table on pre-period observables (firm activity, credit stock, foro composition, case-year) by vara-leniency quartile. Event-study pre-trends for all headline outcomes. Required diagnostic for the randomization assumption. [TBD]
- **Instrument construction variants.** Compare the baseline weighted vara-level leniency against (a) a pure judge-level leave-one-out (Ramon's current implementation), (b) a pure vara-level leave-one-out over all cases in the vara, (c) the hybrid that uses judge-level LOO when only one judge has served in the vara. See `docs/methods.md` and Appendix B for details. Show that the main result is robust across constructions. [TBD]
- **Sample restrictions.** Robustness to dropping foros with fewer than two varas, to tighter thresholds on minimum judge case counts, to restricting the filing-year window, and to alternative `won_case` definitions (treating *parcialmente procedente* as a loss or as a separate category). [TBD]
- **Clustering.** Compare standard errors clustered at firm, vara, foro $\times$ year, and two-way (firm, vara). Report the most conservative. [TBD]
- **Outcome transformations.** Levels, $\log(1 + y)$, and $\mathbb{1}[y > 0]$ for all SCR outcomes, following the three-way transformation Ramon's pipeline already produces. [TBD]
- **Aggregate spillovers (H6).** Check for Liberman-style equilibrium externalities on non-plaintiff borrowers in foros with higher shares of successful 6226 removals. Expected to be economically negligible given the small scale of the case type relative to the full SCR population; one-paragraph robustness note rather than a headline. [TBD]

9 Interpretation and policy

- **The theoretical welfare benchmark.** Our LATE is a reduced-form estimate of a welfare object that none of the leading theoretical frameworks in credit reporting has studied directly. Padilla and Pagano [2000] model the disciplinary value of sharing defaults; Elul and Gottardi [2015] model the optimal horizon of statutory forgetting; Chatterjee et al. [2020] model credit scores as Bayesian posteriors on hidden type. All three assume the tracked history is a truthful record. The listings our courts remove are, by construction, not truthful records: they are clerical errors, time-barred obligations, identity-theft victims, and procedural failures. The welfare gain from correcting such errors is unambiguous in all three frameworks — in Padilla–Pagano it restores the signal-to-noise ratio of the disciplinary channel, in Elul–Gottardi it falls into the Remark 4 case where failures orthogonal to effort and type should be forgotten, and in Chatterjee–Corbae it restores Bayesian consistency of the type score. Our paper measures the marginal return to this correction without attempting to estimate the structural parameters of any of these models. See `docs/theory.md` for details.

- **Aggregate cost of judicial delay.** Back-of-envelope calculation. Multiply the per-case welfare gain implied by the IV LATE (in units of firm activity and credit access) by the estimated annual volume of wrongful listings in SP that never reach the courts or that reach them too late. Compare against the ongoing cost of operating the 6226 case docket. [TBD]

- **Policy levers.** Discuss three alternatives that would address the same friction differently: (i) an administrative redress channel at the credit bureau level (analogous to the US FCRA dispute process), (ii) automatic expiry of listings after a fixed horizon (the Elul–Gottardi statutory-forgetting solution), (iii) investment in judicial efficiency to reduce the delay cost conditional on the current architecture. Our design cannot rank these, but the magnitudes we estimate tell the reader what is at stake when the friction is not addressed. [TBD]

- **Private value of an immediate removal.** We map the time-to-removal elasticity into an implied private willingness to pay for a faster resolution, and compare it against the average moral-damages award granted in 6226 cases. [TBD]

10 Conclusion

- Restate the headline LATE on firm activity and credit access.

- Restate the theoretical contribution: a reduced-form measure of the return to correcting *signal errors* in a live credit-reporting regime, distinct from both the eliminate-tracking counterfactual of Chatterjee et al. [2020] and the uniform statutory forgetting of Elul and Gottardi [2015].

- Limitations: local LATE only, no structural welfare estimate, Sao Paulo civil courts only, no treatment of equilibrium spillovers beyond a robustness note.

- Open questions for future work: the optimal design of administrative redress mechanisms, the interaction of judicial correction with automatic-forgetting rules, and whether the pattern generalizes beyond consumer credit disputes to other categories of Brazilian civil litigation.

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A Data construction

[TBD — case filtering, party classification, linkage diagnostics.]

B Instrument construction

[TBD — alternative vara-leniency constructions and their first stages.]

C Additional SCR outcomes

[TBD.]